



IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION
CRIMINAL APPEAL NO. 2493 OF 2024

ARVIND KEJRIWAL		APPELLANT
VERSUS		
DIRECTORATE OF ENFORCEMENT		RESPONDENT

J U D G M E N T

SANJIV KHANNA, J.

This appeal filed by the appellant – Arvind Kejriwal assails the judgment and order dated 09.04.2024 passed by the single Judge of the High Court of Delhi whereby the Criminal Writ Petition filed by Arvind Kejriwal under Articles 226 and 227 of the Constitution of India read with Section 482 of the Code of Criminal Procedure, 1973¹, challenging his arrest by the Directorate of Enforcement², *vide* the arrest order dated 21.03.2024, on the ground of violation of Section 19 of the Prevention of Money Laundering Act, 2002³, and the proceedings pursuant thereto including the order of remand dated 22.03.2024 to the custody of DoE passed by the Special Judge, has been rejected.

2. At the outset, we must clarify that this is not an appeal against refusal or grant of bail. Instead, this appeal impugns the validity of arrest under Section 19 of

¹ For short, the “Code”.

² For short, “DoE”.

³ For short, the “PML Act”.

the PML Act. It raises a pivotal question regarding the scope and ambit of the trial court/courts to examine the legality of the arrest under Section 19. The issue is legal in nature, and with the ratio being propounded in detail, the decision becomes complex and legalistic.⁴

3. On 17.08.2022, the Central Bureau of Investigation⁵ registered RC No. 0032022A0053 for the offences punishable under Section 120B read with Section 477A of the Indian Penal Code, 1860⁶ and Section 7 of the Prevention of Corruption Act, 1988. The registration was based on a complaint dated 20.07.2022, made by the Lieutenant Governor of the Government of National Capital Territory⁷ of Delhi, and on the directions of the competent authority conveyed by the Director, Ministry of Home Affairs, Government of India.
4. Later, on 25.11.2022, the CBI filed a chargesheet. Thereafter, on 25.04.2023 and 08.07.2023, two supplementary chargesheets were filed. On 15.12.2022, the Special Court took cognisance of the offences. The chargesheets *inter alia* allege that the excise policy, framed for the sale of liquor in NCT of Delhi, was a product of criminal conspiracy. It was hatched by a cartel of liquor manufacturers, wholesalers and retailers and it provided undue pecuniary gain to public servants and other accused in the conspiracy. It resulted in huge losses to the government exchequer and ultimately to the public. Arvind Kejriwal is not an accused in the said chargesheets.

⁴ While introducing the Prevention of Money Laundering (Amendment) Bill, 2012 in the Rajya Sabha on 17.12.2012, the then Finance Minister, Mr. P Chidambaram, stated, "Firstly, we must remember that money-laundering is a very technically-defined offence. It is not the way we understand 'money-laundering in a colloquial sense.'" This has been quoted with approval in *Vijay Madanlal Choudhary and others v. Union of India and others*, (2022) SCC OnLine SC 929, at paragraph 35.

⁵ For short, "CBI".

⁶ For short, "IPC".

⁷ For short, "NCT".

considered beyond the conditions and factors stipulated in Section 19(1) of the PML Act.

76. DoE submits that the test of “necessity to arrest” is satisfied in view of Arvind Kejriwal failing to appear despite the issuance of 9 summons dated 30.10.2023, 18.12.2023, 22.12.2023, 12.01.2024, 31.01.2024, 14.02.2024, 21.02.2024, 26.02.2024, and 16.03.2024. It is also submitted that arrest is a part and parcel of investigation intended to secure evidence, leading to discovery of material facts and relevant information as held in ***P. Chidambaram v. Directorate of Enforcement***.⁶²

77. On behalf of Arvind Kejriwal, it is submitted that there was no necessity to arrest on 21.03.2024. The RC/ECIR were registered in the month of August 2022. Further, most of the material relied upon in the “reasons to believe” are prior to July 2023. The statements under Section 50 of the PML Act and under Section 164 of the Code, or otherwise, of Magunta Srinivasulu Reddy, Raghav Magunta, Siddharth Reddy, etc., relate to the period prior to July 2023. Thus, it was not necessary to arrest Arvind Kejriwal on 21.03.2024 based on the said material. Lastly, in ***Pankaj Bansal*** (supra), this Court observed:

“28. Mere non-cooperation of a witness in response to the summons issued under Section 50 of the Act of 2002 would not be enough to render him/her liable to be arrested under Section 19...”

78. As per the data available on the website of the DoE, as on 31.01.2023⁶³, 5,906 ECIRs were recorded. However, search was conducted in 531 ECIRs by issue of 4,954 search warrants. The total number of ECIRs recorded against ex-MPs,

⁶² (2019) 9 SCC 24.

⁶³ The data post 31.01.2023 has not been updated.

MLAs and MLCs was 176. The number of persons arrested is 513. Whereas the number of prosecution complaints filed is 1,142. The data raises a number of questions, including the question whether the DoE has formulated a policy, when they should arrest a person involved in offences committed under the PML Act.

79. We are conscious that the principle of parity or equality enshrined under Article 14 of the Constitution cannot be invoked for repeating or multiplying irregularity or illegality. If any advantage or benefit has been wrongly given, another person cannot claim the same advantage as a matter of right on account of the error or mistake. However, this principle may not apply where two or more courses are available to the authorities. The doctrine of need and necessity to arrest possibly accepts the said principle. Section 45 gives primacy to the opinion of the DoE when it comes to grant of bail. DoE should act uniformly, consistent in conduct, confirming one rule for all.
80. One of the developments in the last decade is acceptance of the principle of proportionality, especially when fundamental rights such as right to life and liberty are involved. This Court in ***Chairman, All India Railway Recruitment Board v. K. Shyam Kumar***⁶⁴ referred to a decision of the House of Lords in ***R v. Secretary of State***,⁶⁵ wherein the House of Lords had stressed that when human rights issues are concerned, proportionality is an appropriate standard of review.

⁶⁴ (2010) 6 SCC 614.

⁶⁵ (1991) 1 All ER 710.

81. The proportionality test⁶⁶ is more precise and sophisticated than other traditional grounds of review. The court is required to assess the balance struck by the decision maker, not merely whether it is within the range of rational or reasonable decisions. In this manner, proportionality goes further than the traditional grounds of review as it requires attention to the relative weight according to interest and considerations. ***State of Uttar Pradesh v. Lal***,⁶⁷ which refers to several other cases, states that the proportionality test safeguards fundamental rights of citizens to ensure a fair balance between individual rights and public interest. It requires the court to judge whether the action taken was really needed and whether it was within the range of courses of action which could be reasonably followed. Proportionality is more concerned with the aims and intentions of the decision maker and whether the decision maker has achieved more or less the correct balance or equilibrium.
82. The principle of proportionality has been followed by this Court in several decisions such as ***Modern Dental College & Research Centre v. State of Madhya Pradesh***,⁶⁸ ***K.S. Puttaswamy (Retired) and Anr. (Aadhar) v. Union of India and Anr.*** (5J),⁶⁹ and ***Anuradha Bhasin v. Union of India and Others***⁷⁰.

⁶⁶ The test of proportionality comprises four steps: (i) The first step is to examine whether the act/measure restricting the fundamental right has a legitimate aim (legitimate aim/purpose). (ii) The second step is to examine whether the restriction has rational connection with the aim (rational connection). (iii) The third step is to examine whether there should have been a less restrictive alternate measure that is equally effective (minimal impairment/necessity test). (iv) The last stage is to strike an appropriate balance between the fundamental right and the pursued public purpose (balancing act).

⁶⁷ (2006) 3 SCC 276.

⁶⁸ (2016) 4 SCC 346.

⁶⁹ (2019) 1 SCC 1.

⁷⁰ (2020) 3 SCC 637.

83. Recently, the Constitution Bench applied the doctrine of proportionality to strike down the Electoral Bond Scheme in ***Association for Democratic Reforms v. Union of India***⁷¹. In a way, the present case also relates to funding of elections, an issue which was examined in some depth in ***Association for Democratic Reforms*** (supra).
84. In view of the aforesaid discussion, and as ***Vijay Madanlal Choudhary*** (supra) is a decision rendered by a three Judge Bench, we deem it appropriate to refer the following questions of law for consideration by a larger Bench:
- (a) Whether the “need and necessity to arrest” is a separate ground to challenge the order of arrest passed in terms of Section 19(1) of the PML Act?
 - (b) Whether the “need and necessity to arrest” refers to the satisfaction of formal parameters to arrest and take a person into custody, or it relates to other personal grounds and reasons regarding necessity to arrest a person in the facts and circumstances of the said case?
 - (c) If questions (a) and (b) are answered in the affirmative, what are the parameters and facts that are to be taken into consideration by the court while examining the question of “need and necessity to arrest”?
85. As we are referring the matter to a larger Bench, we have to, despite our findings on “reasons to believe”, consider whether interim bail should be granted to Arvind Kejriwal. Given the fact that right to life and liberty is sacrosanct, and Arvind Kejriwal has suffered incarceration of over 90 days, and that the questions referred to above require in-depth consideration by a larger

⁷¹ (2024) 5 SCC 1.

Bench, we direct that Arvind Kejriwal may be released on interim bail in connection with case ECIR No. HIU-II/14/2022 dated 22.08.2022, on the same terms as imposed *vide* the order dated 10.05.2024 which reads:

- (a) he shall furnish bail bonds in the sum of Rs.50,000/- with one surety of the like amount to the satisfaction of the Jail Superintendent;
- (b) he shall not visit the Office of the Chief Minister and the Delhi Secretariat;
- (c) he shall be bound by the statement made on his behalf that he shall not sign official files unless it is required and necessary for obtaining clearance/approval of the Lieutenant Governor of Delhi;
- (d) he will not make any comment with regard to his role in the present case;
and
- (e) he will not interact with any of the witnesses and/or have access to any official files connected with the case.

The interim bail may be extended, or recalled by the larger Bench.

86. We are conscious that Arvind Kejriwal is an elected leader and the Chief Minister of Delhi, a post holding importance and influence. We have also referred to the allegations. While we do not give any direction, since we are doubtful whether the court can direct an elected leader to step down or not function as the Chief Minister or as a Minister, we leave it to Arvind Kejriwal to take a call. Larger Bench, if deemed appropriate, can frame question(s) and decide the conditions that can be imposed by the court in such cases.

87. Accordingly, the Registry is directed to place the matter before the Hon'ble Chief Justice of India for constitution of an appropriate Bench, and if appropriate, a Constitution Bench, for consideration of the aforesaid questions.

The questions framed above, if required, can be reformulated, substituted and added to.

88. The observations made in this judgment are for deciding the present appeal and will not be construed as findings on merits of the case/allegations. Facts, as alleged, have to be established and proved. Application for regular bail, if pending consideration or required to be decided, shall be decided on its own merits.

.....J.
(SANJIV KHANNA)

.....J.
(DIPANKAR DATTA)

NEW DELHI;
JULY 12, 2024.